# State of Arkansas

## Strategic IT Landscape and Market Analysis Report

March 26, 2026

# Executive Summary & Macro Landscape

The State of Arkansas is currently navigating one of the most aggressive, highly structured, and sweeping operational transformations in its administrative history. Under the steadfast leadership of Governor Sarah Huckabee Sanders, the state's executive branch has initiated and is aggressively executing "Arkansas Forward," a comprehensive enterprise-wide efficiency and modernization program.[1] Heavily influenced by private-sector optimization methodologies and bearing striking philosophical similarities to broader federal efficiency mandates, this transformation is designed to upend decades of decentralized, siloed bureaucratic operations. Informed by an exhaustive 956-page diagnostic report generated in partnership with McKinsey & Company, the Sanders administration has identified the distinct potential for approximately $300 million in total cost savings and cost-avoidance over the next six years.[3] This massive undertaking spans more than 300 specific initiatives across 15 newly consolidated executive departments.[3] Within this broader mandate of fiscal conservatism and operational streamlining, enterprise Information Technology (IT) represents a critical and highly scrutinized theater of operations. The administration has calculated that modernizing IT governance, retiring technical debt, and centralizing procurement can account for between $65 million and $130 million in targeted annual cost savings.[2]

The macro political and economic climate in Arkansas is heavily characterized by a strong push toward conservative fiscal management, the aggressive centralization of administrative power, and a profound intolerance for operational redundancies.[6] Governor Sanders has positioned Arkansas to act as a model for government efficiency, directly challenging legacy operating models that have historically bloated state budgets. The state is simultaneously managing massive infusions of federal capital that are acting as accelerators for these transformation goals. These capital injections include a staggering $1 billion allocation from the Broadband Equity, Access, and Deployment (BEAD) program to close the digital divide, over $105 million in federal highway funds for advanced transportation infrastructure, and millions in recurring State and Local Cybersecurity Grant Program (SLCGP) disbursements to harden the state's defensive posture.[8]

Furthermore, the state's internal operating dynamics have shifted dramatically due to direct executive intervention. Governor Sanders recently issued executive orders mandating the return of all state executive branch employees to physical offices, thereby terminating the regular use of remote work policies implemented during previous administrations.[11] This specific policy shift has immediate, cascading implications for the state's enterprise technology architecture. The sudden influx of thousands of state employees returning to physical campuses creates an urgent need to re-evaluate and scale campus networking, endpoint infrastructure, localized facility bandwidth, and physical security access controls. The transition back to on-premises operations necessitates a pivot away from decentralized, remote-first provisioning toward robust, centralized enterprise infrastructure.

For the current fiscal year, the Sanders administration's strategic focus is anchored by four core

administrative goals that dictate the flow of technological funding and executive prioritization:

1. **Government Efficiency and Enterprise IT Consolidation:** Driven by the Arkansas Forward initiative, the state is executing an unwavering mandate to centralize IT governance, aggressively eliminate duplicative software applications, renegotiate sprawling vendor contracts, and capture systemic operational savings across all 15 executive departments.[1] This requires a fundamental redesign of how the state procures, deploys, and manages its technology stack.
2. **Cybersecurity Resilience and Centralized Risk Management:** Recognizing the escalating threat landscape, the state is establishing a unified, impenetrable front against cyber threats. This is characterized by the mandated creation of a centralized Cybersecurity Office, the statewide adoption of Zero Trust architectures, and strict, uncompromising adherence to federal regulatory standards such as NIST 800-53 Revision 5 and GovRAMP.[1]
3. **Digital Equity and Infrastructure Expansion:** The state is fiercely committed to utilizing its $1 billion BEAD allocation to bridge the digital divide in rural communities. The goal is to connect 99% of households to high-speed internet while simultaneously executing a phased network refresh that elevates K-12 educational broadband guidance from 1 Mbps to 3 Mbps per student.[10]
4. **Health and Human Services Modernization:** The Department of Human Services (DHS), which commands the state's largest operating budget, is under intense pressure to address crippling legacy technical debt. Goals include restructuring Medicaid operations, leveraging federal grants to build a resilient statewide health data infrastructure, and modernizing Electronic Medical Records (EMRs) to support rural telehealth initiatives.[3]

# Power Structure & Key Stakeholders

The technological power structure within the State of Arkansas is highly centralized and hierarchical, with ultimate decision-making authority and influence concentrated heavily within the Governor's office and her appointed cabinet secretaries. Historically, agency-level Chief Information Officers (CIOs) wielded significant autonomy, leading to fractured technology landscapes. The current administration has actively dismantled these fiefdoms, pulling purchasing power and architectural oversight into a consolidated central authority. The legislative branch exercises its oversight and funding control primarily through the Joint Committee on Advanced Communications and Information Technology, which frequently demands accountability regarding project milestones, budget adherence, and modernization outcomes.

For Dell Technologies account teams, understanding this rigid hierarchy is paramount. Accessing the ultimate financial purchasers requires navigating through stringent technical influencers who serve as the gatekeepers for the state's newly established shared architectural standards.

| Name & Title | Sphere of Influence | Recent Public Stances on Technology |
|---|---|---|
| **Sarah Huckabee Sanders**<br>Governor, State of Arkansas | Financial Purchaser & Executive Mandate Originator | Authored the comprehensive Arkansas Forward initiative and Executive Orders 25-10/25-15. Publicly champions government efficiency, the severe reduction of technical debt, the centralization of procurement, and strict operational oversight. Ordered the cessation of state remote work policies, fundamentally altering endpoint strategies.[1] |
| **Jay Harton**<br>Chief Technology Officer (CTO) & Director, Office of State Technology (OST) | Technical Influencer & Primary Financial Purchaser | Appointed in March 2025 following a nearly three-decade tenure with the state. Leads the massive IT consolidation effort. Publicly advocates for establishing internal "Shared Technology Services" (a private cloud), right-sizing workloads before migrating to public clouds, and implementing a statewide ServiceNow platform.[7] |
| **Gary Vance**<br>Chief Information Security Officer (CISO) | Technical Influencer & Compliance Gatekeeper | Focuses intensely on the human element of cybersecurity, Zero Trust architecture, and advanced endpoint protection. Drives the state's rigorous compliance with NIST 800-53, GovRAMP, and leads the Arkansas Cyber Center of Excellence. Operates as the ultimate authority on risk mitigation.[12] |
| **Leslie Fisken**<br>Secretary, Department of Shared Administrative Services (DSAS) | Financial Purchaser & Operational Influencer | Oversees the newly rebranded DSAS (formerly DTSS). Sits on the powerful Arkansas Forward steering committee. Prioritizes state employee experience, consolidated facility management, and the proliferation of inter-agency shared services.[12] |

| Name & Title | Sphere of Influence | Recent Public Stances on Technology |
|---|---|---|
| **Kristi Putnam**<br>Secretary, Department of Human Services (DHS) | Financial Purchaser (High-Spend Agency) | Manages the state's largest operating budget ($10.2B). Focused on modernizing the state's complex Medicaid program, improving payment integrity, and overseeing the "Roadmap to a Healthier Arkansas." Grappling with historical IT project failures and demanding rapid, reliable modernization.[3] |
| **Sen. Mark Johnson / Rep. Stephen Meeks**<br>Co-Chairs, Joint Committee on Advanced Communications and IT | Legislative & Appropriations Influencers | Provide stringent legislative oversight on all state technology projects. Frequently receive testimony from OST leadership regarding data center modernization, broadband deployment, and statewide network upgrades. They hold the keys to project funding continuity.[14] |
| **Hugh McDonald**<br>Secretary, Department of Commerce | Financial Purchaser (Agency Level) | Oversaw the successful and highly complex migration of the 25-year-old Unemployment Insurance (UI) mainframe to a cloud-based infrastructure in November 2025. Advocates for specialized compensation and retention strategies for vital IT staff executing critical modernization milestones.[18] |

To effectively penetrate this power structure, Dell must align its messaging not merely with technological feature sets, but with the overarching political and economic mandates of these stakeholders. CTO Jay Harton and CISO Gary Vance represent the crucial technical entry points; securing their architectural validation is a prerequisite before engaging financial purchasers like Secretary Fisken or Secretary Putnam, who are focused entirely on cost-reduction and service delivery metrics.

# IT Governance & Service Delivery Model

## Operating Model: Aggressive Consolidation

The State of Arkansas is currently in the midst of a forceful and highly disruptive transition from a historically Federated and compartmentalized IT environment to a strictly **Consolidated** service delivery model.[1] For decades, the state suffered from decentralized governance, an environment where individual agency Chief Information Officers managed their own technical debt, procured bespoke software applications without enterprise oversight, and operated in fortified silos. The McKinsey diagnostic report revealed the severe financial consequences of this model: the state was spending 40% more on redundant applications than peer states while critically underfunding its foundational infrastructure by 65%.[2] This imbalance led to a brittle, inefficient, and highly vulnerable technology posture.

To rectify this systemic failure, Governor Sanders issued sweeping Executive Orders (specifically EO 25-10 and EO 25-15) mandating the creation of a unified, impenetrable IT framework. Effective August 6, 2025, the state's central IT authority, the Division of Information Systems (DIS), was officially reorganized, elevated, and renamed the Department of Shared Administrative Services (DSAS), Office of State Technology (OST).[1] This was not merely a cosmetic rebranding; the OST was vested with sweeping statutory powers to administer all state IT functions.

The OST is now legally mandated to manage technology projects statewide, continuously assess operational viability, conduct rigorous cost-benefit analyses, and enforce centralized procurement to eliminate duplication.[1] Furthermore, an enterprise IT Governance Team was established to dictate resource allocation and project prioritization. This powerful consortium comprises representatives from the Department of Finance & Administration (DFA), the Department of Inspector General, the Office of State Procurement, and the OST itself.[1] This body ensures that no technology project advances without proving its alignment with the state's financial and architectural standards.

## Friction Points: Chargebacks and Procurement Bottlenecks

Despite the clear executive mandate for centralization, significant operational friction exists regarding how individual agencies procure, consume, and pay for IT services. These friction points present both challenges and consultative opportunities for enterprise vendors.

**The Chargeback Mechanism and Budgetary Misalignment:** By strict state and federal law, the OST is required to operate as a cost-recovery agency.[23] Agencies procure foundational IT services—such as network connectivity, data center hosting, telephony, and cybersecurity monitoring—from the OST and are subsequently billed through a centralized web-based system known as DIAMONDS.[24] The OST must continually monitor its fund balances to ensure federal compliance. When the cost to provide a service diverges from the revenue generated by agency consumption, the OST is legally required to implement rate adjustments (correcting

either over-recovery or under-recovery imbalances).[23] For agency CIOs and financial directors who are managing tightly fixed, legislatively approved fiscal year budgets, these fluctuating, mandated chargeback rates create severe budgetary friction. An unexpected increase in the OST chargeback rate for network services can immediately derail an agency's planned capital expenditures. This creates an environment where agencies are desperate for predictable, consumption-based financial models that can shield them from rate volatility.

**Procurement and Architectural Gatekeeping:** A second major friction point involves the state's aggressive procurement oversight. In an effort to control rogue IT spending, any IT procurement by an agency with an anticipated cost of $100,000 or more must be submitted to the State Technology Planning (STP) unit within the Department of Finance and Administration for a mandatory "State Technology Cost Analysis" review.[25] The STP is allotted 10 business days to scrutinize the bid documents before they can be released to the public. Furthermore, agencies are legally bound to comply with the state's Shared Technical Architecture Program.[25] Every procurement must include mandatory wording ensuring that the respondent's solution adheres to policies promulgated by the Governor's Office. If an agency attempts to procure a specialized solution that deviates from OST's approved architectural standards, the procurement is halted. This rigid gatekeeping, while absolutely necessary for achieving the Arkansas Forward consolidation goals, often leads to deep resentment and friction with agency leaders who feel their specific operational needs are being subjugated to rigid enterprise standardization.

# Financials & Budget Breakdown

## Total & IT Budget

The State of Arkansas operates on a strict fiscal year cycle that begins on July 1 and ends on June 30.[26] The state's overall financial budget is substantial and is driven heavily by massive agency allocations required to maintain core citizen services. For example, the Department of Human Services (DHS) commands an astronomical operating expenditure of $10.2 billion, primarily driven by Medicaid obligations.[3] Similarly, the Department of Transportation (ARDOT) received an appropriation of $3.49 billion for the 2025-2026 fiscal year to manage the state's sprawling infrastructure.[27]

Regarding enterprise IT specifically, the McKinsey Arkansas Forward diagnostic report provided a rare, consolidated view of total technology expenditures across the disparate agencies, revealing a total annual IT spend of approximately $680 million to $700 million.[2] This annual expenditure positions Arkansas in the second quartile relative to peer state spend.[2] However, the diagnostic highlighted a severe and deeply problematic imbalance in how this money is structurally allocated.

| IT Spending Metric | Financial Impact / Distribution | Strategic Implication |
|---|---|---|
| **Total Annual IT Spend** | $680M - $700M | Second quartile among peer states; represents a substantial addressable market for enterprise vendors. |
| **Vendor Allocation** | 80% of Total IT Spend | The state relies overwhelmingly on external contractors, integrators, and OEMs rather than internal development. |
| **Application Spending** | ~$150M - $170M Above Peers | Gross overspending on redundant, siloed, and aging software applications across the 15 agencies. |
| **Infrastructure Spending** | 65% Below Peer Benchmarks | Critical underfunding of data centers, compute, storage, endpoint services, and cybersecurity. |

*Data Unavailable:* While the aggregate $680-$700 million figure dictates the macro technology spend, the exact mathematical split between recurring operational spend (OpEx/O&M) and net-new project capital investments (CapEx) for the upcoming FY2026 budget has not been published in a unified, publicly accessible line-item ledger.

However, from an execution standpoint, Dell account executives should target agency-level funding mechanisms. The Department of Finance and Administration (DFA) requires agencies to budget new technology requests utilizing **Change Level 8 (C08)** within the Arkansas Planning Budgeting and Accountability System (PBAS), keeping these CapEx expenditures distinctly tracked away from routine OpEx. The explicit mandate from the Governor's office is to transition the state away from heavy, unpredictable Capital expenditures on bespoke legacy systems, shifting toward optimized, consumption-based Operational expenditure models via the newly established Shared Technology Services (STS) private cloud.[2]

## Grants & Funding

While the state's internal general revenue supports ongoing operations, Arkansas is currently the beneficiary of several massive influxes of federal dollars. These grants serve as the primary financial vehicles for net-new technology modernization projects and represent the most

lucrative avenues for vendor engagement:

- **Broadband Equity, Access, and Deployment (BEAD) Program:** The National Telecommunications and Information Administration (NTIA) recently approved Volume Two of Arkansas' initial proposal, officially unlocking over $1 billion in federal infrastructure funding.[10] This generational investment is designed to completely eliminate the state's digital divide, fund deep-fiber buildouts, and modernize connectivity for rural municipalities and educational institutions.
- **State and Local Cybersecurity Grant Program (SLCGP):** The state is heavily leveraging federal funds to harden its cyber posture. Arkansas was originally allocated $4.77 million in FY2024 SLCGP funding, which was subsequently updated and increased to $4.83 million.[29] The state will continue to draw from the $91.75 million national pool available in FY2025.[9] These funds are explicitly designated for critical infrastructure defense, mitigating gaps in the cybersecurity workforce, and deploying advanced threat detection platforms.[30]
- **Health and Human Services Modernization Grants:** Through the advocacy of Senator John Boozman, the Arkansas Department of Health (ADH) secured $13.3 million in targeted federal appropriations.[16] This specific funding is earmarked to expand statewide health data infrastructure, upgrade Electronic Medical Records (EMRs), and dramatically enhance telehealth connectivity across rural hospitals and clinics.[16] Furthermore, DHS benefits from massive active federal grants, including Center for Medicare & Medicaid Services (CMS) action grants exceeding $256 million and $90 million issued in late 2025 to manage the state's health systems.
- **Transportation and Highway Funding:** ARDOT routinely receives massive federal matching funds. Recently, the department secured over $105.5 million specifically for six expressway development projects.[41] Additionally, specialized infrastructure investments are being made at the localized intersection level, such as the $2.2 million traffic alleviation contract at US 70 and University Avenue, which requires upgraded traffic signal equipment and roadway lighting integration.[42]

# Strategic Initiatives & Projects (Focus on Top 3)

The state's technology modernization efforts are vast, but three specific initiatives represent the highest concentration of executive focus, allocated funding, and architectural transformation.

## 1. Enterprise IT Consolidation & Shared Technology Services (STS) Expansion

- **The Executive Mandate:** This is the cornerstone of Governor Sanders' technological vision, driven directly by Executive Order 25-10 and the overarching "Arkansas Forward" efficiency initiative. The explicit goal is to generate up to $130 million in annual IT savings by forcefully eliminating duplicative services, standardizing procurement, and centralizing all IT administration under a single operational umbrella.[1]
- **The High-Spend Agency:** The Department of Shared Administrative Services (DSAS), Office of State Technology (OST), led by CTO Jay Harton.
- **The Underlying IT Requirement:** The primary technological requirement is comprehensive data center consolidation and the aggressive build-out of a robust "private cloud." During detailed testimony to the Joint IT Committee in early 2025, CTO Harton outlined completed efforts to stand up Shared Technology Services (STS) across two primary state data centers in Little Rock and a newly established disaster recovery site at the Department of Public Safety's troop headquarters in Lowell, Arkansas.[14] A critical strategic component of this initiative is Harton's directive to "right-size" workloads and modernize them on-premises *before* migrating them to commercial public clouds (such as AWS, Azure, or Google Cloud).[14] This hybrid-cloud approach is designed to prevent the state from incurring runaway public cloud egress costs. Additionally, the state is heavily investing in rolling out the ServiceNow enterprise platform statewide to handle unified help-desk routing, change management, and the complex IT cost recovery/billing required by the DIAMONDS system.[14]

## 2. Legacy Mainframe Retirement & Application Modernization

- **The Executive Mandate:** The administration recognizes that decades-old systems pose unacceptable security risks, hinder operational speed, and severely degrade the citizen experience. The mandate is to systematically identify and retire massive technical debt across all agencies.[2]
- **The High-Spend Agency:** The Department of Human Services (DHS) and the Department of Commerce (ACOM).
- **The Underlying IT Requirement:** The transition requires massive data migration, refactoring of unstructured data, and the deployment of scalable cloud architectures. The Department of Commerce recently completed a grueling, highly publicized 25-year effort to migrate the state's Unemployment Insurance (UI) system off a 40-year-old legacy mainframe into a modern, cloud-based infrastructure in November 2025.[22] This

success has placed immense pressure on other agencies to follow suit. Simultaneously, DHS—the state's largest agency—recently suffered a highly visible failure when it was forced to cancel a $12 million child welfare IT upgrade (known as ARfocus) due to massive scope and budget overruns.[19] DHS is now under intense executive pressure to modernize its 1997-era systems reliably. This includes leveraging the newly awarded $13.3 million federal grant to build a next-generation health data infrastructure capable of seamlessly sharing unstructured medical records and telehealth data across rural clinics and the Arkansas State Health Alliance for Record Exchange.[16]

### 3. Unified Cybersecurity Governance & Zero Trust Architecture

- **The Executive Mandate:** Recognizing that the state's previously fractured IT environment left it vulnerable to catastrophic breaches, Executive Order 25-10 explicitly mandated the creation of a centralized Cybersecurity Office with absolute authority to manage cyber risk across the entire state enterprise.[1]
- **The High-Spend Agency:** The State Cybersecurity Office (SCSO), directed by CISO Gary Vance, operating as an autonomous division within the OST.[12]
- **The Underlying IT Requirement:** The mandate requires absolute cyber resilience, advanced endpoint protection, and strict, auditable regulatory compliance. The SCSO serves as a 24/7/365 front line of defense, offering continuous Managed Detection & Response (MDR) and enforcing the state's stringent Act 504 Cybersecurity Policy.[12] The primary technological requirement is the rapid implementation of a Zero Trust architecture and comprehensive, verifiable alignment with the NIST 800-53 Revision 5 Risk Management Framework.[12] This initiative is heavily funded by the federal SLCGP grants. The urgency of this project has been massively amplified by Governor Sanders' mandate ending remote work; as thousands of state employees bring their devices back onto localized state networks, the SCSO must continuously audit and secure a sprawling, highly concentrated endpoint environment.[11]

# Procurement, Vendor Landscape, & Compliance

## Procurement

Navigating the Arkansas state procurement process requires patience, compliance, and an understanding of the state's preferred purchasing vehicles. Arkansas state agencies are strictly required to use registered vendors who have completed onboarding through the Arkansas Vendor Services portal and the state's primary electronic bidding system, ARBuy.[32] The Office of State Procurement (OSP) manages all centralized contracts. For enterprise technology purchases, the state heavily leverages national cooperative purchasing agreements to streamline acquisition and guarantee competitive pricing.

The primary, overarching vehicle for IT hardware is the **NASPO ValuePoint Computer Equipment contract**, which is currently active and formally set to expire on **June 30, 2026**.[43]

Other frequently utilized contracting vehicles include Sourcewell and OMNIA Partners, which provide flexibility for specialized IT services and peripherals.[34] As previously noted, any IT procurement exceeding $100,000 cannot be executed unilaterally; it must clear a rigorous 10-day review by the DFA State Technology Cost Analysis unit to ensure it aligns with the state's financial and architectural guidelines.[25]

## The Battlefield

The Arkansas enterprise technology landscape is an intensely competitive battlefield, currently dominated by major original equipment manufacturers (OEMs) holding prime, entrenched positions on the state's central NASPO and enterprise networking contracts. Because the McKinsey report highlighted that Arkansas has historically spent 65% less on infrastructure than its peer states, massive segments of the state's server racks, storage arrays, and network switches have been stretched far beyond standard 3-5 year refresh lifecycles.[2] This critical infrastructure deficit creates a massive, multi-million dollar "rip-and-replace" opportunity over the next 18 to 24 months as the state rushes to modernize before the next contract expiration cycles.

| Technology Domain | Entrenched Incumbents & Competitors | Market Dynamics & Vulnerabilities |
|---|---|---|
| **Compute & Endpoint** | Dell Technologies, HP Inc., Hewlett Packard Enterprise (HPE), Lenovo | All hold active NASPO contracts valid through **June 30, 2026**.[43] The end of remote work forces an immediate, massive endpoint refresh. |
| **Storage & Data Management** | Pure Storage, NetApp, IBM | Both Pure Storage and NetApp hold NASPO contracts expiring **June 30, 2026**.[43] Aging data center arrays present prime targets for displacement before this renewal cycle. |
| **Networking & Security** | Cisco, Palo Alto Networks, Extreme Networks, Juniper Networks | Maintain massive footprints, particularly within K-12 network upgrades and state data centers. These networking contracts expire **September 30, 2026**.[34] |

| Technology Domain | Entrenched Incumbents & Competitors | Market Dynamics & Vulnerabilities |
|---|---|---|
| **Software & ITSM** | Microsoft, ServiceNow | Microsoft dominates productivity (Microsoft 365) and cloud (Azure). ServiceNow has recently won the battle for the state's ITSM, IT cost recovery, and change management platform.[14] |

## Compliance

Vendor solutions must successfully navigate a rigorous, multi-layered compliance matrix to even be considered for state contracts. Failure to demonstrate compliance results in immediate disqualification by the OST Governance Team.

- **GovRAMP (formerly StateRAMP):** In a significant shift, StateRAMP transitioned to GovRAMP in February 2025 to reflect its adoption across various levels of government. Cloud Service Providers (CSPs) seeking to operate in Arkansas must achieve GovRAMP authorization (which strictly mirrors FedRAMP and NIST 800-53 controls) to handle state data.[13] Crucially, Arkansas specifically utilizes the GovRAMP CJIS-aligned overlay to bridge cloud security with FBI Criminal Justice Information Services requirements, streamlining procurement for law enforcement and public safety systems.[37]
- **NIST 800-53 Revision 5:** This is the foundational cybersecurity framework formally mandated by CISO Gary Vance and the SCSO for all state networks, internal systems, and external service providers.[12]
- **HIPAA & Healthcare Data:** Uncompromising strict compliance is required for any vendor engaging with the Department of Health or the massive DHS Medicaid systems, particularly as the state expands its health data exchanges.[38]
- **State Architecture Policies:** Prior to contract execution, vendors must submit a detailed Vendor Readiness Assessment Report (VRAR) and legally bind themselves to comply with the state's Shared Technical Architecture Program.[25]

# Actionable Dell Opportunities

Based on the exhaustive analysis of Arkansas' current political mandates, structural budget friction, and massive technical debt, the following highly actionable sales motions are recommended for the Dell Technologies account team. These motions are specifically designed to bypass the friction points of the centralized OST while delivering on the Governor's mandate for financial efficiency.

**Funded Alignment: Capitalizing on the 65% Infrastructure Deficit and "Return to Office" Mandate**

- **Data Center Infrastructure (PowerEdge & PowerStore):** The McKinsey Arkansas Forward report provided Dell with the ultimate justification for capital expenditure by explicitly stating that Arkansas spends 65% less on infrastructure than its peers, relying heavily on brittle, outdated systems.[2] With the newly consolidated OST mandate to aggressively build out "Shared Technology Services" (STS) across two primary data centers in Little Rock and a disaster recovery site in Lowell [14], Dell must immediately position next-generation **PowerEdge** servers and **PowerStore** arrays. This aligns perfectly with CTO Jay Harton's fully funded initiative to modernize the state's "private cloud" backbone before workloads are evaluated for public cloud migration. The message to Harton is clear: Dell provides the dense, scalable infrastructure required to run a multi-tenant STS environment efficiently.
- **Client Solutions Group (CSG) & Peripherals:** The political landscape shifted dramatically when Governor Sanders issued an executive order in August 2025 ending the regular use of remote work for all executive branch state employees.[11] This sudden influx of thousands of workers returning to physical state office buildings requires an immediate, massive refresh of on-premises endpoints, docking stations, high-resolution monitors, and secure networking access. The existing remote-first hardware fleet is incompatible with the new centralized office mandate. Align Dell **Latitude**, **OptiPlex**, and comprehensive peripheral solutions directly to this funded, politically visible operational shift.

**Whitespace & Advisory: Navigating AI Governance, Unstructured Data Sprawl, and Edge Computing**

- **Intelligent Transportation & Edge Computing (ARDOT):** The Arkansas Department of Transportation is executing a massive modernization effort backed by $105.5 million in new federal funding for expressway developments.[41] Additionally, specialized infrastructure projects, such as a $2.2 million intersection upgrade at US 70 and University Avenue, require advanced traffic signal equipment and roadway integration.[42] This presents a massive, localized edge computing whitespace. Dell should position **Dell Edge Gateways**, **PowerEdge XR** ruggedized servers, and specialized IoT solutions designed to process data locally at the intersection level, supporting ARDOT's intelligent traffic

systems.

- **AI-Ready Infrastructure & Data Hub Advisory:** The state has recently taken preliminary steps toward advanced analytics by establishing an AI Center of Excellence and actively developing the "Arkansas Data Hub" to promote data-driven decision-making across government.[40] However, due to historical underinvestment, the state currently lacks the high-performance underlying architecture required to support generative AI, machine learning, or massive data ingestion at scale. Dell can lead with high-level advisory services to assess their unstructured data readiness. By positioning **PowerScale (Isilon)**, Dell can offer the OST a pathway to securely consolidate the disparate, unstructured data pools currently scattered across the 15 newly formed executive departments, establishing the requisite foundation for their AI ambitions.
- **Health Information Exchange & Edge Security:** The Department of Health successfully secured $13.3 million in federal funds to rapidly expand telehealth, provider connectivity, and EMR modernization across rural hospitals.[16] This creates additional whitespace for Dell Edge computing solutions. By positioning **VxRail** and ruggedized edge security tailored specifically for rural clinics—which typically lack dedicated onsite IT staff—Dell can ensure that remote healthcare facilities maintain secure, compliant (HIPAA/GovRAMP) data pipelines back to the core DHS networks in Little Rock.

**Competitive Displacement: The Private Cloud Repatriation Play**

- **Displacing Aging Pure Storage and NetApp SANs:** Pure Storage and NetApp are currently entrenched on the state's NASPO contract, which is formally set to expire on **June 30, 2026**.[43] Because the state has critically underinvested in infrastructure for years [2], it is highly probable that many of these existing SANs are reaching critical end-of-support milestones or are currently running on exorbitant, financially inefficient extended warranties. Dell Account Executives must initiate targeted Total Cost of Ownership (TCO) assessments *now* to intercept this procurement cycle well before the June 2026 NASPO renewal. Replace legacy NetApp/Pure arrays with **Dell PowerStore**, and crucially, bundle in **Dell PowerProtect Cyber Recovery**. This combined offering simultaneously modernizes the storage fabric while satisfying CISO Gary Vance's strict mandate for NIST 800-53 compliance, Zero Trust architecture, and ransomware resilience.[12]
- **Combating Public Cloud Sprawl with Dell APEX:** CTO Jay Harton has publicly and repeatedly stated a strategy of "right-sizing" workloads and modernizing them internally *before* pushing them to commercial providers like AWS, Azure, or Google Cloud.[14] This indicates a profound, justified hesitation regarding unpredictable public cloud egress fees and loss of data sovereignty. Dell must aggressively position **Dell APEX** as the ultimate competitive displacement tool against pure public cloud providers. APEX allows the OST to deliver a cloud-like, consumption-based chargeback model to state agencies (easily integrating with their new ServiceNow/DIAMONDS billing system [24]) while keeping the physical hardware securely on-premises in Little Rock and Lowell. This highly strategic play solves the severe agency chargeback friction while directly fulfilling the Governor's

mandate for $130 million in IT cost savings.

**Works cited**


1. Sanders Announces Executive Order Concerning Modernizing and Enhancing Efficiency, Security, and Oversight of Statewide Information Technology (IT) Services - Arkansas Governor, accessed March 27, 2026, https://governor.arkansas.gov/executive_orders/sanders-announces-executive-order-concerning-modernizing-and-enhancing-efficiency-security-and-oversight-of-statewide-information-technology-it-services/
2. PLANS FOR COST-SAVINGS AND EFFICIENCY - Arkansas Governor, accessed March 27, 2026, https://governor.arkansas.gov/wp-content/uploads/AR-Forward.pdf
3. THE SANDERS ADMINISTRATION & HUMAN SERVICES EFFICIENCY - Arkansas Policy Foundation, accessed March 27, 2026, https://arkansaspolicyfoundation.org/the-sanders-administration-human-services-efficiency/
4. New report outlines how Arkansas government could save $300M over next 6 years, accessed March 27, 2026, https://www.thv11.com/article/news/politics/new-report-arkansas-government-save-300m-next-6-years/91-b710cd0e-b673-4704-8c47-d2b28cc2d3bd
5. Arkansas governor orders technology dept. to centralize, improve cyber - StateScoop, accessed March 27, 2026, https://statescoop.com/arkansas-governor-technology-reorganization-202/
6. Sanders Signs Executive Order To Speed Permitting for Economic Development Projects - Arkansas Governor, accessed March 27, 2026, https://governor.arkansas.gov/executive_orders/sanders-signs-executive-order-to-speed-permitting-for-economic-development-projects/
7. Arkansas names new IT director - StateScoop, accessed March 27, 2026, https://statescoop.com/arkansas-jay-harton-cto-director-dis-2025/
8. ARDOT to receive over $105 million in federal money for 6 road projects, accessed March 27, 2026, https://talkbusiness.net/2026/02/ardot-to-receive-over-105-million-in-federal-money-for-6-road-projects/
9. State and Local Cybersecurity Grant Program | FEMA.gov, accessed March 27, 2026, https://www.fema.gov/grants/preparedness/state-local-cybersecurity-grant-program
10. Feds approve Arkansas broadband proposal - Talk Business & Politics, accessed March 27, 2026, https://talkbusiness.net/2025/11/feds-approve-arkansas-broadband-proposal/
11. Newsroom - Arkansas Governor - Sarah Huckabee Sanders, accessed March 27, 2026, https://governor.arkansas.gov/newsroom/page/6/?do%3AnewsDetail=1&news_id=71
12. Cybersecurity - Arkansas Department of Shared Administrative ..., accessed March 27, 2026, https://sas.arkansas.gov/state-technology/cybersecurity/

13. A Guide to GovRAMP: Benefits, Requirements, and How to Get Authorized - Secureframe, accessed March 27, 2026, https://secureframe.com/blog/govramp
14. Arkansas Department of Information Systems outlines modernization, cybersecurity and data projects - Citizen Portal AI, accessed March 27, 2026, https://citizenportal.ai/articles/6351872/Arkansas/Arkansas-Department-of-Information-Systems-outlines-modernization-cybersecurity-and-data-projects
15. Arkansas | Welcome to Community Networks, accessed March 27, 2026, https://communitynetworks.org/tags/arkansas
16. Arkansas Department of Health Secures $13.3 Million to Expand Statewide Health Data Infrastructure: Investment Comes Thanks To Sen. Boozman's Support, accessed March 27, 2026, https://healthy.arkansas.gov/article/arkansas-department-of-health-secures-13-3-million-to-expand-statewide-health-data-infrastructure-investment-comes-thanks-to-sen-boozmans-support/
17. Office of State Technology - Arkansas Department of Shared Administrative Services, accessed March 27, 2026, https://sas.arkansas.gov/state-technology/
18. H.13(a) - Arkansas State Legislature, accessed March 27, 2026, https://www.arkleg.state.ar.us/Home/FTPDocument?path=%2FAssembly%2FMeeting+Attachments%2F000%2F26541%2FExhibit+H.13.a+-+DTSS+-+AR+Forward+Qtrly+report+8.15.24.pdf
19. Arkansas canceled child welfare IT upgrade after two years, $12M | StateScoop, accessed March 27, 2026, https://statescoop.com/arkansas-canceled-child-welfare-it-upgrade-after-two-years-12m/
20. ADVANCED COMMUNICATIONS AND INFORMATION TECHNOLOGY - JOINT - Arkansas State Legislature, accessed March 27, 2026, https://www.arkleg.state.ar.us/Committees/Detail?code=685&ddBienniumSession=2023%2F2023R
21. Arkansas Department of Information Systems outlines modernization, cybersecurity and data projects | Citizen Portal, accessed March 27, 2026, https://citizenportal.ai/articles/6351872/Arkansas-Department-of-Information-Systems-outlines-modernization-cybersecurity-and-data-projects
22. f¾t. - Arkansas State Legislature, accessed March 27, 2026, https://arkleg.state.ar.us/Home/FTPDocument?path=%2FAssembly%2FMeeting+Attachments%2F060%2F27814%2FEx+C+ACOM+and+ADVA+Special+Compensation+Plans+request.pdf
23. Rate Finder - Arkansas Department of Shared Administrative Services, accessed March 27, 2026, https://sas.arkansas.gov/state-technology/rate-finder/
24. Billing - Arkansas Department of Shared Administrative Services, accessed March 27, 2026, https://sas.arkansas.gov/state-technology/support/billing/
25. State Technology Cost Analysis – Arkansas Department of Finance ..., accessed March 27, 2026, https://www.dfa.arkansas.gov/office/intergovernmental-services/state-technology-cost-analysis/
26. Instructions for Preparation of the ANNUAL OPERATIONS PLAN For Cabinet

Departments and Independent Agencies Fiscal Year 2026 - DFA.Arkansas.gov, accessed March 27, 2026, https://www.dfa.arkansas.gov/wp-content/uploads/FY26_AOP_for_Cabinet_Departments_and_Independent_Agencies.pdf
27. AR HB1201 - BillTrack50, accessed March 27, 2026, https://www.billtrack50.com/billdetail/1797576
28. Broadband Equity Access and Deployment Program | BroadbandUSA - National Telecommunications and Information Administration, accessed March 27, 2026, https://broadbandusa.ntia.gov/funding-programs/broadband-equity-access-and-deployment-bead-program
29. State and Local Cybersecurity Grant Program Funding Allocations | FEMA.gov, accessed March 27, 2026, https://www.fema.gov/grants/preparedness/state-local-cybersecurity-grant-program/funding_allocations
30. February 26, 2025 - Phelan Pinon Hills, accessed March 27, 2026, https://www.pphcsd.org/files/131266c6b/BMP02-26-2025.pdf
31. REPORT OF THE REVIEW SUBCOMMITTEE OF THE ARKANSAS LEGISLATIVE COUNCIL March 20th, 2026, accessed March 27, 2026, https://www.arkleg.state.ar.us/Home/FTPDocument?path=%2FAssembly%2FMeeting+Attachments%2F000%2F27826%2FExhibit+F.12+-+ALC+Review+Subcommittee+Report+March+2026.pdf
32. Arkansas Vendor Services - Arkansas.gov, accessed March 27, 2026, https://vendor.ark.org/
33. Vendor Resources - Arkansas Department of Shared Administrative Services, accessed March 27, 2026, https://sas.arkansas.gov/procurement/vendor-resources/
34. State Contracts - Arkansas Department of Shared Administrative Services, accessed March 27, 2026, https://sas.arkansas.gov/procurement/state-contracts/
35. GovEd Contracts - Logicalis US, accessed March 27, 2026, https://www.us.logicalis.com/goved-contracts
36. What is StateRAMP ? List of StateRAMP States - Centraleyes, accessed March 27, 2026, https://www.centraleyes.com/glossary/stateramp/
37. StateRAMP: Strengthening Security for State Regulatory Agencies - GL Solutions, accessed March 27, 2026, https://glsolutions.com/regulatory-agency-software-blog/stateramp-strengthening-security-for-state-regulatory-agencies/
38. Arkansas Digital Government Summit 2025 - Govtech Events, accessed March 27, 2026, https://events.govtech.com/arkansas-digital-government-summit
39. State Cybersecurity Office - Arkansas Department of Shared Administrative Services, accessed March 27, 2026, https://sas.arkansas.gov/wp-content/uploads/Standard_SA_System-and-Services-Acquisition-1.pdf
40. DIS Newsletter 2025 Q1 - Arkansas Department of Shared Administrative Services, accessed March 27, 2026, https://sas.arkansas.gov/wp-content/uploads/DIS-Newsletter-2025-Q1.pdf

41. $105M in new federal funding headed to ARDOT for road projects | 5newsonline.com, accessed March 27, 2026, https://www.5newsonline.com/article/news/local/105m-new-federal-funding-ardot-road-projects/527-49e395a1-bc1b-4e5b-aa2a-d848d1a882bc
42. Arkansas Department of Transportation (ARDOT), accessed March 27, 2026, https://senate.arkansas.gov/senate-news/posts/2025/december/arkansas-department-of-transportation-ardot/
43. Computer Equipment - Arkansas Department of Shared Administrative Services, accessed March 27, 2026, https://sas.arkansas.gov/state_contracts/computer-equipment/